

Economics, Applied Economics and Economic Policy

A note to students: This assessment is not testing how well you can recall textbook definitions or reproduce formulas. It is designed to understand how you think about economic ideas, trade-offs, and real-world situations. Students who are genuinely well suited for Economics at university level tend to be curious about why prices change, how businesses make decisions, and why government policies sometimes work and sometimes do not. Read each scenario carefully, think it through, and choose the answer that makes the most economic sense to you.

Section 1: Fundamental Economic Concepts

Q1. A student has a free Saturday and must choose between studying for an upcoming exam or working a part-time shift that pays well. In economic terms, what is the main trade-off she is facing?

- A) The value of what she must give up by choosing one option over the other
- B) Whether part-time work will affect her academic reputation in the long run
- C) The total number of hours available during a typical weekend
- D) Whether her family will approve of her taking a part-time job

Q2. A new smartphone model becomes extremely popular after a celebrity endorsement. Stores quickly run out of stock. What would economic reasoning most likely predict about the phone's price in the short term?

- A) The price will fall because the company wants to move more units quickly
- B) The price will stay the same because it was set before the shortage occurred
- C) The price will rise because demand now exceeds the supply that is available
- D) The price will fall to protect the brand's long-term reputation among consumers

Q3. A city government wants to reduce plastic bag usage. It considers two options: banning plastic bags completely, or introducing a small charge for

every bag used at shops. Which option better reflects how economists typically think about changing behaviour?

- A) The ban, because hard rules are more effective than financial signals in changing habits
- B) The charge, because it uses price to encourage people to make different choices while preserving their freedom
- C) The ban, because it is simpler for retailers to understand and follow
- D) The charge, because it generates extra revenue the government can spend elsewhere

Q4. A hospital has four ICU beds available but five critically ill patients who each need one. The hospital must decide how to allocate the beds. Which economic concept does this situation most directly illustrate?

- A) Inflation
- B) Opportunity cost
- C) Market failure
- D) Scarcity and the unavoidable need to make allocation decisions under limited resources

Q5. A drought severely reduces the tomato harvest in a region. Within a few weeks, the price of tomatoes at local markets rises sharply. What role is the price increase actually playing in this situation?

- A) It is communicating scarcity to buyers and signalling to suppliers in other regions that there is an opportunity to bring in more tomatoes
- B) It is a sign of market failure that the government should step in and correct immediately
- C) It is evidence of unethical behaviour by sellers who are exploiting the situation

D) It simply reflects general inflation rather than anything specific to the tomato shortage

Section 2: Personal and Business Economic Decision-Making

Q6. A student is deciding whether to take a one-year diploma course before applying to university. It costs money and delays her degree by a full year. What is the most economically sensible way to approach this decision?

- A) Whether her friends and classmates are planning to take a similar course
- B) Whether the institution offering the diploma is well-known and respected
- C) Whether the future benefits, such as stronger career prospects, are likely to outweigh the financial cost and the time delay
- D) Whether the subjects covered in the diploma are ones she finds genuinely enjoyable

Q7. A small café owner notices that the cost of coffee beans has gone up significantly. She needs to figure out what to do next. Which response reflects the most economically rational thinking?

- A) Continue as before and absorb the higher costs to avoid upsetting regular customers
- B) Evaluate a range of options, such as adjusting prices, finding alternative suppliers, or changing the menu to reduce dependence on the expensive ingredient
- C) Close the café temporarily until bean prices return to normal levels
- D) Raise prices across the entire menu immediately to cover the full cost increase

Q8. A supermarket places its most expensive products at eye level and puts cheaper alternatives on lower shelves. Customers consistently buy more of the eye-level products, even when the cheaper alternatives are of comparable quality. What does this most usefully suggest about consumer behaviour?

- A) Consumers always make perfectly rational decisions based purely on price and quality
- B) Expensive products are almost always of genuinely superior quality
- C) Supermarkets are acting unethically by arranging their products this way
- D) Consumers can be significantly influenced by factors beyond price and quality, such as visibility and ease of access

Q9. An entrepreneur is weighing two business options. Option A offers a high probability of modest but steady returns. Option B offers a small chance of very large returns but also carries the real risk of total financial loss. What economic trade-off is she navigating?

- A) The trade-off between risk and potential reward
- B) The trade-off between inflation and employment levels
- C) The trade-off between short-term costs and long-term savings
- D) The trade-off between government regulation and market freedom

Q10. A factory can use its existing resources to produce either 100 units of Product A or 150 units of Product B in the same amount of time. It currently produces only Product A. What is the opportunity cost of this decision?

- A) The total wages the factory pays to its workers each month
- B) The cost of the raw materials used to manufacture Product A
- C) The 150 units of Product B the factory is giving up by choosing to make Product A instead
- D) The profit earned from selling the 100 units of Product A that are produced

Section 3: Macroeconomics and Public Policy

Q11. A family notices that their monthly grocery shopping, which used to cost Rs. 5,000, now costs Rs. 5,800 even though they are buying exactly the same items as before. What economic phenomenon does this most directly reflect?

- A) An increase in the family's overall demand for groceries
- B) Inflation, which gradually reduces how much money can buy over time
- C) A new government tax that has been applied to essential food items
- D) A reduction in the number of grocery stores competing in their area

Q12. During an economic slowdown, a government decides to significantly increase its spending on roads, schools, and public infrastructure. What is the primary economic reasoning behind this approach?

- A) The government is trying to use up a budget surplus before the end of the financial year
- B) Road and school construction is always more productive than private sector investment
- C) The government is legally required to maintain certain spending levels during economic downturns
- D) When private sector activity is slowing, increased public spending can create jobs and help stimulate broader economic activity

Q13. A government is considering two approaches to raising additional tax revenue. Option A charges everyone the same flat percentage of their income. Option B charges higher earners a higher percentage. What is the key economic and social argument in favour of Option B?

- A) It is significantly simpler to calculate and collect than a flat percentage rate
- B) It encourages higher earners to work harder and contribute more to the overall economy

- C) It distributes the tax burden according to people's actual ability to pay, which can help reduce income inequality
- D) It generates less total revenue but is considered more efficient for businesses and investors

Q14. A government reports that the economy grew by 7% last year. However, surveys show that unemployment also increased during the same period. How is it possible for an economy to grow while unemployment rises at the same time?

- A) Growth can be driven by technology and productivity improvements that increase output without needing more workers
- B) It is not really possible. Strong GDP growth should always produce more jobs and lower unemployment
- C) This only happens when the GDP figures are being measured incorrectly
- D) It only occurs in economies that are simultaneously experiencing very high inflation

Q15. A government wants to lower interest rates to encourage borrowing and stimulate economic growth. However, an adviser warns that doing this could trigger higher inflation. What fundamental challenge does this situation illustrate about macroeconomic policy?

- A) That government economic policy almost never produces the outcomes it sets out to achieve
- B) That lowering interest rates is always the wrong approach to stimulating growth
- C) That inflation and economic growth are essentially unrelated to each other in a modern economy
- D) That policy decisions often involve genuine trade-offs where pursuing one goal can make another goal harder to achieve

Section 4: Economic Analysis and Data Interpretation

Q16. A table shows that a country's unemployment rate has fallen every year for five consecutive years, dropping from 8% to 3.5%. What is the most reasonable interpretation of this trend?

- A) The government has likely been adjusting how unemployment is measured to make the figures look more favourable
- B) The country's labour market has been strengthening consistently and meaningfully over this period
- C) Wages must have fallen significantly during this same period to make hiring more affordable for businesses
- D) The country is probably building up toward an economic recession in the near future

Q17. A retailer finds that discounting Product A by 10% leads to a 25% jump in sales volume. Discounting Product B by the same 10% produces only a 3% increase in sales. What does this difference most likely reveal about these two products?

- A) Product A must be priced higher than Product B before any discount is applied
- B) Product B is of lower quality and customers already sense that it is overpriced
- C) The retailer should probably stop selling Product B since it responds so poorly to promotions
- D) Customers are far more sensitive to price changes for Product A than they are for Product B

Q18. A government significantly raises the minimum wage. Supporters argue it will improve living standards for low-income workers. Critics warn it may lead some businesses to hire fewer people. What does this policy debate most usefully illustrate?

- A) Economic policies often produce both intended benefits and potential unintended consequences, and good analysis requires weighing both honestly

- B) Governments should generally avoid interfering with how labour markets naturally set wages
- C) Higher wages will always and inevitably lead to rising unemployment across the board
- D) Businesses are fundamentally opposed to any policy that improves the welfare of their workers

Q19. In a city, the number of coffee shops grew from 50 to 200 over three years. During the same period, the average price of a cup of coffee fell from Rs. 80 to Rs. 55. What economic relationship does this data most likely illustrate?

- A) Inflation reducing the real purchasing value of money across the local economy
- B) A significant fall in consumer demand for coffee happening across the city
- C) Increased competition among sellers putting consistent downward pressure on prices
- D) Government price controls being introduced to make coffee more affordable for residents

Q20. A country has experienced rising GDP, rising inflation, and a growing gap between its wealthiest and poorest citizens all at the same time. An economist argues that GDP growth alone is not a sufficient measure of how well an economy is actually performing. What is the strongest basis for this argument?

- A) GDP is too complex and inconsistently measured to be relied upon in most countries
- B) Rising GDP does not tell us whether the gains are being shared broadly or whether ordinary people's purchasing power is actually keeping up
- C) Governments should always focus on reducing inflation before thinking about growth

D) Income inequality is fundamentally a social concern rather than an economic one

Answer Key and Explanations

Question	Correct Answer
Q1	A
Q2	C
Q3	B
Q4	D
Q5	A
Q6	C
Q7	B
Q8	D
Q9	A
Q10	C
Q11	B
Q12	D
Q13	C
Q14	A
Q15	D
Q16	B
Q17	D
Q18	A

Q19 C

Q20 B

Q1. Answer: A This is the concept of opportunity cost. Every choice involves giving something up. The true cost of studying on Saturday is the income from the shift she did not take, and vice versa.

Q2. Answer: C When demand rises sharply and supply cannot immediately keep up, prices tend to increase. This is one of the most fundamental relationships in economics, and it applies directly to this situation.

Q3. Answer: B Economists generally favour using price signals and incentives to change behaviour rather than outright bans, because they allow people to make their own choices while still guiding outcomes in a socially desirable direction.

Q4. Answer: D Scarcity exists whenever resources are insufficient to meet all needs or demands. This situation illustrates scarcity in its most direct form and shows why allocation decisions are unavoidable.

Q5. Answer: A Rising prices in a shortage serve two important functions. They tell buyers to use the product more carefully, and they signal to producers and traders elsewhere that there is a profitable opportunity to supply more. This is how markets coordinate responses to scarcity.

Q6. Answer: C Cost-benefit analysis is central to economic reasoning. A decision is economically rational when the expected benefits outweigh the costs, including the cost of time lost.

Q7. Answer: B Rational economic decision-making under pressure means evaluating all available options rather than reacting with a single blunt response. Businesses that think in terms of trade-offs and alternatives tend to navigate cost pressures more effectively.

Q8. Answer: D This illustrates what economists and behavioural scientists call bounded rationality. Real consumers are influenced by cognitive shortcuts, convenience, and context, not just price and quality comparisons.

Q9. Answer: A The risk-reward trade-off is a foundational concept in both personal finance and business economics. Different people have different tolerances for risk, which leads to genuinely different but rational choices.

Q10. Answer: C Opportunity cost in production refers to what a business gives up by choosing one output over another. By producing Product A, the factory is forgoing 150 units of Product B, and that is the true economic cost of its decision.

Q11. Answer: B Inflation means that the same amount of money buys less over time. The family is experiencing this directly: their spending power has fallen even though their shopping habits have not changed.

Q12. Answer: D Fiscal stimulus involves the government increasing its spending to compensate for a fall in private sector demand. The economic logic is that public investment can keep people employed and money circulating when the private sector is pulling back.

Q13. Answer: C Progressive taxation is built on the principle that those with greater income have a greater capacity to contribute to public finances. It is one of the primary policy tools used to address income inequality.

Q14. Answer: A Economic growth can be driven by technology, automation, and efficiency improvements that allow more output to be produced with the same or fewer workers. Growth and employment do not always move in the same direction.

Q15. Answer: D This is a classic illustration of the inflation-growth trade-off in macroeconomic policy. Lower interest rates stimulate spending and investment but can also increase inflation. Policymakers must constantly manage these competing pressures.

Q16. Answer: B A consistent five-year decline in unemployment is a meaningful signal of labour market improvement. While no single data point tells the whole

story, a sustained trend like this is a strong indicator of positive economic conditions.

Q17. Answer: D This is a scenario-based illustration of price elasticity of demand. Product A is highly elastic, meaning customers respond strongly to price changes. Product B is inelastic, meaning price changes have little effect on how much people buy.

Q18. Answer: A Minimum wage policy is a useful case study in economic trade-offs. The intended benefit is higher income for low-paid workers. The potential unintended consequence is reduced hiring. Sound economic analysis requires examining both rather than focusing on just one side.

Q19. Answer: C As the number of coffee shops increased fourfold, sellers had to compete more aggressively for customers, which put downward pressure on prices. This is a direct illustration of how competition works to benefit consumers.

Q20. Answer: B GDP measures total economic output but says nothing about how that output is distributed or whether people's real purchasing power is improving. An economy can grow in aggregate while many individuals within it are worse off, which is why economists look beyond GDP when assessing genuine wellbeing.